

CBSE CLASS X

Social Science (087)

QUESTION PAPER

From previous CBSE Board Exam questions

Code: X6OXNI

Questions: 59

Maximum Marks: 162

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SELECTIONS USED

Source	Previous-year board
Subject	Social Science
Lessons	Globalisation and the Indian Economy
Year	2022-2026
Questions selected	59

Q1. § PRODUCTION ACROSS COUNTRIES § INTERLINKING PRODUCTION ACROSS COUNTRIES [5]

How do Multinational Corporations (MNCs) interlink production across countries ? Explain with examples.

Previously asked in: 2023 32/2/1 Q33(a)

♦ Globalisation and the Indian Economy

Interlinking of Production by Multinational Corporations (MNCs) across countries

Q2. § PRODUCTION ACROSS COUNTRIES § INTERLINKING PRODUCTION ACROSS COUNTRIES [5]

How do Multi National Corporations (MNCs) interlink production across countries ? Explain with examples.

Previously asked in: 2022 32/4/1 Q10(b)

♦ Globalisation and the Indian Economy

MNCs and Interlinking of Production Across Countries

Q3. § INTERLINKING PRODUCTION ACROSS COUNTRIES [1]

Which one of the following is a major benefit to a local company which goes for joint production with an MNC ?

- (A) MNC provides Money and Technology to local company.
- (B) MNC takes all decisions to reduce burden of local company.
- (C) MNC purchases all shares of local company for faster production.
- (D) MNC might ask for labour and capital investment from local company.

Previously asked in: 2023 32/6/1 Q11

♦ Globalisation and the Indian Economy

Benefits of Joint Production with MNCs for Local Companies

Q4. § INTERLINKING PRODUCTION ACROSS COUNTRIES [1]

Which one of the following is a major benefit to an MNC when it works on joint production with a local company ?

- A MNC shares its latest technology with the local company.
- B MNC decides all parameters and prices of the product.
- C MNC shares its institutional policy with local company.
- D MNC built good and familial relations with the local company.

Previously asked in: 2023 32/1/1 Q10

♦ Globalisation and the Indian Economy

Benefits of MNC joint production with local companies

Q5. § FOREIGN TRADE AND INTEGRATION OF MARKETS § Liberalisation of foreign trade and foreign investment policy § IMPACT OF GLOBALISATION IN INDIA [1]

Two statements labelled as Assertion (A) and Reason (R) are given below. Read both the statements carefully and choose the correct option :

Assertion (A) : Foreign trade provides producers with opportunity to reach beyond domestic markets.

Reason (R) : The foreign trade expands the choice of goods other than those produced domestically.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
- (B) Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).
- (C) Assertion (A) is true, but Reason (R) is false.
- (D) Assertion (A) is false, but Reason (R) is true.

Previously asked in: 2026 32/3/1 Q29

♦ Globalisation and the Indian Economy

Role of Foreign Trade in expanding markets and choices

Q6. § FACTORS THAT HAVE ENABLED GLOBALISATION [1]

Two Statements-I and II are given below. Read both the statements and choose the correct option.

Statement-I: In recent times technology in the areas of computer and internet has been changing rapidly.

Statement-II: Internet allows us to send instant electronic mail (e-mail) and talk (voice-mail) across the world at negligible costs.

- (A) Only I is false but II is true.
- (B) Only I is true but II is false.
- (C) Both I and II are true but II is not the correct explanation of I.
- (D) Both I and II are true and II is the correct explanation of I.

Previously asked in: 2025 32/5/1 Q20

♦ Globalisation and the Indian Economy

Technology and Globalisation: Role of Internet and Communication Technology

Q7. § FOREIGN TRADE AND INTEGRATION OF MARKETS § WHAT IS GLOBALISATION? § Liberalisation of foreign trade and foreign investment policy [1]

If companies decide to import cotton from other countries, what will be its impact on domestic cotton cultivation ? Choose the most appropriate option :

- I. Less profitable
- II. More profitable
- III. The price of domestic cotton will decrease
- IV. The price of domestic cotton will increase

- (A) Only I and IV are correct.
- (B) Only I and III are correct.
- (C) Only II and III are correct.
- (D) Only II and IV are correct.

Previously asked in: 2026 32/3/1 Q31

♦ Globalisation and the Indian Economy

Impact of imports on domestic production and pricing

Q8. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA [2]

Why did the Indian Government restrict foreign trade and foreign investment between 1947 – 1991? Explain.

Previously asked in: 2025 32/3/1 Q24

♦ Globalisation and the Indian Economy

Restrictions on Foreign Trade and Foreign Investment (1947–1991)

Q9. § WHAT IS GLOBALISATION? § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION [1]

Which of the following is the main purpose of a trade barrier in global trade ? Choose the correct option.

- A To promote the growth of foreign companies in a country
- B To control the production of domestic industries
- C To regulate foreign trade into the country
- D To stop foreign trade between countries

Previously asked in: 2026 32/5/1 Q32

♦ Globalisation and the Indian Economy

Trade Barriers

Q10. § WORLD TRADE ORGANISATION § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP [1]

Which one of the following best describes liberalisation ?

- (A) Protecting domestic industries
- (B) Banning foreign companies
- (C) Removal of restrictions on trade
- (D) Restricting foreign investment

Previously asked in: 2026 32/1/1 Q32

♦ Globalisation and the Indian Economy

Liberalisation of foreign trade and investment policy

Q11. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION [1]

The removal of barriers on foreign trade and investment by the Indian government has been called as :

- (A) Industrialisation
- (B) Nationalisation
- (C) Privatisation
- (D) Liberalisation

Previously asked in: 2026 32/4/1 Q32

♦ Globalisation and the Indian Economy

Liberalisation of foreign trade and investment policy

Q12. § IMPACT OF GLOBALISATION IN INDIA [3]

Examine the steps taken by the Central and State governments to attract foreign companies to invest in India.

Previously asked in: 2022 32/3/1 Q6 (b)

♦ Globalisation and the Indian Economy

Steps taken by Central and State governments to attract foreign investment in India

Q13. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION [1]

Why did the Indian government liberalize trade regulations in 1991 ?

- (a) Government wanted foreign exchange equivalent to Indian Currency.
- (b) Government wanted to maintain good relations with Western Countries.
- (c) Government wanted Indian producers to compete in the World Market.
- (d) Government wanted to provide socio-economic justice to all.

Previously asked in: 2023 32/4/1 Q10

♦ Globalisation and the Indian Economy

Liberalisation of Trade and Investment in India (1991)

Q14. § INTERLINKING PRODUCTION ACROSS COUNTRIES § WHAT IS GLOBALISATION? § IMPACT OF GLOBALISATION IN INDIA [5]

Explain any five steps taken by the Central and State Governments to attract foreign investments.

Previously asked in: 2023 32/2/1 Q33(b)

♦ Globalisation and the Indian Economy

Steps taken by Central and State Governments to attract foreign investment

Q15. § IMPACT OF GLOBALISATION IN INDIA

[3]

Describe any three impacts of globalisation on Indian agriculture.

Previously asked in: 2024 32/5/1 Q26

♦ Globalisation and the Indian Economy

Impact of Globalisation on Indian Agriculture

Q16. § Competition and Uncertain Employment

[3]

Describe the impact of flexibility in the labour laws on the workers in India.

Previously asked in: 2023 32/5/1 Q27

♦ Globalisation and the Indian Economy

Flexibility in Labour Laws and Its Impact on Workers

Q17. § THE STRUGGLE FOR A FAIR GLOBALISATION

[5]

Analyse the ways to make globalization fair.

Previously asked in: 2023 32/1/1 Q33(b)

♦ Globalisation and the Indian Economy

Making Globalisation Fair

Q18. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[1]

Read the following statements for stimulating the process of globalization and choose the correct options :

- I. Government reduces trade barriers.
- II. Government reduces competition among producers.
- III. Government reduces import and export taxes.
- IV. Government removes restrictions on foreign investment.

- A Only I, II and III are correct.
- B Only II, III and IV are correct.
- C Only I, III and IV are correct.
- D Only I, II and IV are correct.

Previously asked in: 2025 32/6/1 Q3

♦ Globalisation and the Indian Economy

Role of Government in Stimulating Globalisation: Trade Barriers, Liberalisation and Foreign Investment

Q19. § THE STRUGGLE FOR A FAIR GLOBALISATION

[5]

Assess, how globalization has touched the lives of larger society.

Previously asked in: 2022 32/1/1 Q10 (b)

♦ Globalisation and the Indian Economy

Benefits and Challenges of Globalisation

Impact of Globalisation on Society

Q20. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[1]

Which one of the following statements best describes the meaning of 'Globalization' ?

- (A) Removal of tax barriers on trade
- (B) Providing higher standard of living
- (C) Process of rapid integration between countries
- (D) Taking special steps to attract foreign companies

Previously asked in: 2024 32/4/1 Q18

♦ Globalisation and the Indian Economy

Meaning and Definition of Globalisation

Q21. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

Examine five factors to promote the process of globalisation.

Previously asked in: 2024 32/3/1 Q33(b)

♦ Globalisation and the Indian Economy

Factors enabling/promoting Globalisation

Q22. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

Analyse the role of Liberalisation in the globalisation.

Previously asked in: 2024 32/3/1 Q33(a)

♦ Globalisation and the Indian Economy

Role of Liberalisation in Globalisation

Q23. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[1]

Which one of the following is a significant aspect of globalisation ?

- (A) Uniform Culture
- (B) Environmental Support
- (C) Support to Domestic Market
- (D) Access to New Markets

Previously asked in: 2024 32/3/1 Q15

♦ Globalisation and the Indian Economy

Meaning and Significant Aspects of Globalisation

Q24. § WHAT IS GLOBALISATION? § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA

[5]

"Foreign trade and foreign investment policies are the aspects of liberalisation and globalisation." Explain the statement with examples.

Previously asked in: 2024 32/2/1 Q33(b)

♦ Globalisation and the Indian Economy

Foreign Investment and Liberalisation

Foreign Trade and Liberalisation

Role of Liberalisation in Globalisation

Q25. § IMPACT OF GLOBALISATION IN INDIA

[5]

Explain how globalisation has impacted the Indian economy. Analyse both positive and negative aspects.

Previously asked in: 2025 32/1/1 Q33(b)

♦ Globalisation and the Indian Economy

Impact of Globalisation on the Indian Economy

Negative Effects of Globalisation

Positive Effects of Globalisation

Q26. § Introduction

[5]

How are our markets transformed in recent years ? Explain with examples.

Previously asked in: 2022 32/4/1 Q10(a)

♦ Globalisation and the Indian Economy

Transformation of Markets due to Globalisation

Q27. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

"The impact of globalisation has not been uniform." Explain the statement with suitable examples.

Previously asked in: 2022 32/2/1 Q10(b)

♦ Globalisation and the Indian Economy

Impact of Globalisation on Various Sectors and Groups

Uneven Impact of Globalisation

Q28. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP

[5]

"Technology is the vital force in the modern form of globalisation." Explain the statement with suitable examples.

Previously asked in: 2022 32/2/1 Q10(a)

♦ Globalisation and the Indian Economy

Role of technology in globalisation

Q29. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

'Among producers and workers, the impact of globalization has not been uniform.' Support the statement with suitable arguments.

Previously asked in: 2023 32/6/1 Q33(b)

♦ Globalisation and the Indian Economy

Benefits of Globalisation for Certain Producers and Skilled Workers

Impact of Globalisation on Small Producers and Local Industries

Impact of Globalisation on Workers and Employment

Uneven Impact of Globalisation on Producers and Workers

Q30. § FACTORS THAT HAVE ENABLED GLOBALISATION

[5]

'Improvement in technology has stimulated the globalisation process.' Explain the statement with examples.

Previously asked in: 2024 32/1/1 Q33(B)

♦ Globalisation and the Indian Economy

Role of Technology in Stimulating Globalisation

Q31. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

"Globalisation is the process of rapid integration or interconnection between countries." Explain the statement with examples.

Previously asked in: 2024 32/1/1 Q33(A)

♦ Globalisation and the Indian Economy

Examples of Globalisation – Trade, Investment and Technology

Meaning and Process of Globalisation

Q32. § Liberalisation of foreign trade and foreign investment policy

[1]

Choose the correct option to fill the blank.

Removing barriers or restrictions on business and trade set by the government is called as _____.

- (a) Disinvestment
- (b) Special Economic Zones
- (c) Liberalisation
- (d) Foreign Direct Investment

Previously asked in: 2024 32/1/1 Q16

♦ Globalisation and the Indian Economy

Liberalisation

Q33. § FACTORS THAT HAVE ENABLED GLOBALISATION

[2]

How did information and communication technology promote the process of Globalization ? Explain.

Previously asked in: 2025 32/6/1 Q21

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in Globalisation

Q34. § FACTORS THAT HAVE ENABLED GLOBALISATION

[1]

The growth of digital technology has greatly influenced globalization. Which of the following is its main benefit ?

- (a) Increased Communication Cost
- (b) Limited Access to Information
- (c) Enhanced Connectivity
- (d) Slower Transaction Speed

Previously asked in: 2025 32/4/1 Q19

♦ Globalisation and the Indian Economy

Role of Digital Technology in Globalisation

Q35. § WHAT IS GLOBALISATION? § SUMMING UP

[3]

How does the interlinking of production across the world promote globalisation ? Explain.

Previously asked in: 2026 32/3/1 Q36

♦ Globalisation and the Indian Economy

Interlinking of Production Across Countries and Globalisation

Q36. § Liberalisation of foreign trade and foreign investment policy

[1]

Why do some countries impose tariffs on imported goods in the context of globalization ? Choose the correct reason from the following options :

- A To support free trade
- B To protect local industries
- C To attract investment
- D To lower import costs

Previously asked in: 2026 32/2/1 Q30

♦ Globalisation and the Indian Economy

Tariffs and Trade Barriers in Globalisation

Q37. § WORLD TRADE ORGANISATION § SUMMING UP

[3]

Examine the debate that took place in the World Trade Organisation for the developing countries.

Previously asked in: 2022 32/3/1 Q6 (a)

♦ Globalisation and the Indian Economy

WTO Debate and Developing Countries

Q38. § IMPACT OF GLOBALISATION IN INDIA

[5]

Examine the factors which facilitate globalization in India.

Previously asked in: 2022 32/1/1 Q10 (a)

♦ Globalisation and the Indian Economy

Factors facilitating globalisation

Liberalisation and removal of trade barriers

Role of MNCs in globalisation

Role of technology in globalisation

World Trade Organisation (WTO) and global trade rules

Q39. § FACTORS THAT HAVE ENABLED GLOBALISATION

[1]

In which one of the following ways has information and communication technology stimulated the globalisation process the most ?

- (a) Access foods across countries
- (b) Access raw material across countries
- (c) Access services across countries
- (d) Access information instantly across countries

Previously asked in: 2023 32/5/1 Q20

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in Globalisation

Q40. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP

[3]

How is information technology connected with globalization ? Explain.

Previously asked in: 2023 32/4/1 Q27

♦ Globalisation and the Indian Economy

Role of Information Technology in Globalisation

Q41. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[1]

Which one of the following is a challenge of Globalisation ?

- (a) Access to New Markets
- (b) Access to New Talent
- (c) International Recruitment
- (d) Disproportionate Growth

Previously asked in: 2023 32/2/1 Q20

♦ Globalisation and the Indian Economy

Challenges of Globalisation

Q42. § FACTORS THAT HAVE ENABLED GLOBALISATION**[2]**

How have the developments in information and communication technology been the major factor to enable globalisation ? Explain.

Previously asked in: 2024 32/5/1 Q24

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in enabling Globalisation

Q43. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP**[2]**

How is technology an important factor of globalisation ? Explain with examples.

Previously asked in: 2024 32/4/1 Q24

♦ Globalisation and the Indian Economy

Technology as a Factor of Globalisation

Q44. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION**[5]**

"Rapid improvement in technology has been one major factor that has stimulated the globalisation process." Explain the statement with examples.

Previously asked in: 2024 32/2/1 Q33(a)

♦ Globalisation and the Indian Economy

Role of Technology in Stimulating Globalisation

Q45. § WHAT IS GLOBALISATION? § SUMMING UP**[1]**

Match the following aspects of globalization with their descriptions and choose the correct option.

List-I (Global Aspect) — List-II (Description)

I. Technological Advancement — a. Interaction of ideas, values and traditions

II. Liberalization of Trade — b. Companies operating in many countries

III. Cultural Exchange — c. Innovation in manufacturing, communication and information

IV. Multinational Corporations — d. The removal of restriction on trade

(A) I-a, II-b, III-c, IV-d

(B) I-c, II-d, III-a, IV-b

(C) I-d, II-c, III-b, IV-a

(D) I-b, II-a, III-d, IV-c

Previously asked in: 2024 32/2/1 Q19

♦ Globalisation and the Indian Economy

Aspects of Globalisation: Technological Advancement, Liberalisation of Trade, Cultural Exchange, and Multinational Corporations

Q46. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION**[1]**

Choose the correct option to fill in the blank:

The process of removing barriers on foreign trade and investment by the government is known as _____.

A Import Tax

B Export Tax

C Liberalisation

D Industrialisation

Previously asked in: 2025 32/3/1 Q13

♦ Globalisation and the Indian Economy

Liberalisation

Q47. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP**[2]**

"Globalisation is the process of rapid integration and interconnection between countries." Explain the statement with examples.

Previously asked in: 2025 32/2/1 Q24

♦ Globalisation and the Indian Economy

Definition and Process of Globalisation

Examples of Globalisation and Global Integration

Q48. § FACTORS THAT HAVE ENABLED GLOBALISATION

[1]

Two statements I and II are given below. Read both the statements carefully and choose the correct option :

Statement I : Information and communication technology stimulate the process of globalisation.

Statement II : It is used to contact each other, receive information instantly and communicate with remote areas.

- A Both statements I and II are correct and statement II is the correct explanation of statement I.
- B Both statements I and II are correct, but statement II is not the correct explanation of statement I.
- C Statement I is correct, but statement II is incorrect.
- D Statement I is incorrect, but statement II is correct.

Previously asked in: 2025 32/2/1 Q20

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in Globalisation

Q49. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION

[1]

Two statements I and II are given below. Read both the statements carefully and choose the correct option :

Statement I : Rapid improvement in technology has been one major factor to stimulate the globalisation process.

Statement II : This has made much faster delivery of goods across long distances possible at lower costs.

- (A) Both statements I and II are correct and statement II is the correct explanation of statement I.
- (B) Both statements I and II are correct, but statement II is not the correct explanation of statement I.
- (C) Statement I is correct, but statement II is incorrect.
- (D) Statement I is incorrect, but statement II is correct.

Previously asked in: 2025 32/1/1 Q20

♦ Globalisation and the Indian Economy

Role of technology in globalisation

Q50. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP

[3]

"Advancement in technology has stimulated the globalization process." Justify the statement with suitable arguments.

Previously asked in: 2026 32/5/1 Q35

♦ Globalisation and the Indian Economy

Rapid improvement in transportation and communication technology

Technology and Globalisation

Q51. § FACTORS THAT HAVE ENABLED GLOBALISATION

[3]

"New technology has helped the world to become connected." Justify the statement with suitable arguments.

Previously asked in: 2026 32/1/1 Q35

♦ Globalisation and the Indian Economy

Role of technology in globalisation

Q52. § FACTORS THAT HAVE ENABLED GLOBALISATION

[3]

"New technology has helped to connect the world." Justify the statement with suitable arguments.

Previously asked in: 2026 32/4/1 Q35

♦ Globalisation and the Indian Economy

Role of technology in globalisation

Q53. § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA

[5]

"Liberalisation of foreign trade and foreign investment policy have shown far reaching changes in India." Support the statement with suitable arguments.

Previously asked in: 2023 32/6/1 Q33(a)

♦ Globalisation and the Indian Economy

Impact of Globalisation on India

Liberalisation of Foreign Trade and Foreign Investment Policy in India

Removal of Trade Barriers and Role of WTO

Q54. § IMPACT OF GLOBALISATION IN INDIA

[5]

Analyse the impact of globalization in India.

Previously asked in: 2023 32/1/1 Q33(a)

♦ Globalisation and the Indian Economy

Impact of Globalisation on India

Q55. § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA § SUMMING UP

[2]

How did liberalization promote the process of globalization in India ? Explain.

Previously asked in: 2025 32/5/1 Q24

♦ Globalisation and the Indian Economy

Liberalisation and its role in promoting Globalisation in India

Q56. § FOREIGN TRADE AND INTEGRATION OF MARKETS § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA [3]

How did the trade policy implemented in 1991 stimulated the globalization in India ? Explain with example.

Previously asked in: 2025 32/4/1 Q27

♦ Globalisation and the Indian Economy

Impact of Globalisation on India with Examples

Trade Policy of 1991 and Liberalisation

Q57. § WORLD TRADE ORGANISATION § SUMMING UP

[1]

Which one of the following is included in 'liberalization' ?

- (A) Promoting trade barriers
- (B) Removing trade barriers
- (C) Controlling the other country through trade
- (D) Increasing import, export duty on goods

Previously asked in: 2024 32/5/1 Q18

♦ Globalisation and the Indian Economy

Liberalisation - meaning and components

Q58. § IMPACT OF GLOBALISATION IN INDIA

[2]

How did the process of liberalisation initiated in India in the 1990s, promote globalisation ? Explain.

Previously asked in: 2025 32/1/1 Q24

♦ Globalisation and the Indian Economy

Liberalisation and its role in promoting Globalisation in India (1990s)

Q59. § PRODUCTION ACROSS COUNTRIES § IMPACT OF GLOBALISATION IN INDIA § ADDITIONAL ACTIVITY / PROJECT

[1]

Cargill Foods, a very large MNC, is the largest producer of edible oil in India. Which one of these countries does it belong to ?

- (a) India
- (b) France
- (c) Great Britain
- (d) United States of America

Previously asked in: 2023 32/5/1 Q19

♦ Globalisation and the Indian Economy

Examples of MNCs operating in India

CBSE CLASS X

Social Science (087)

ANSWER KEY

From previous CBSE Board Exam questions

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Q1. § PRODUCTION ACROSS COUNTRIES § INTERLINKING PRODUCTION ACROSS COUNTRIES

[5]

How do Multinational Corporations (MNCs) interlink production across countries ? Explain with examples.

Previously asked in: 2023 32/2/1 Q33(a)

♦ Globalisation and the Indian Economy

Interlinking of Production by Multinational Corporations (MNCs) across countries

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Model Answer

MNCs interlink production across countries in the following ways:

1. **Setting up factories abroad:** MNCs establish production units where labour and resources are cheap. For example, an industrial equipment MNC designs products in the USA, manufactures components in China, assembles them in Mexico/Eastern Europe, and runs customer care from India — saving 50–60% in costs.
1. **Joint production with local companies:** MNCs partner with local firms, providing capital and latest technology. Example: Ford Motors set up a plant in India jointly with Mahindra & Mahindra.
1. **Buying up local companies:** MNCs acquire local firms to expand production. Example: Cargill Foods (USA) bought Parakh Foods and became India's largest edible oil producer.
1. **Placing orders with small producers:** MNCs outsource production of garments, footwear, and sports items to small producers worldwide, then sell under their own brand. Example: Women in Ludhiana making footballs for MNCs.

Thus, by partnering, outsourcing, or acquiring local companies, MNCs spread and interlink production across many countries.

Source: Chapter 4 — Globalisation and the Indian Economy, Sections: Production Across Countries, Interlinking Production Across Countries

Explanation

- Examiners expect **4–5 distinct methods** with at least **one example each** for a 5-mark answer.
- Key terms to use: *foreign investment, joint production, outsourcing, acquisition*.
- The Ford & Cargill examples are directly from the textbook — always prefer textbook examples in board exams.
- Avoid writing a general essay; use numbered points for clarity and to ensure you cover all methods.
- End with a conclusion line summing up the interlinking idea — it signals complete understanding.

Q2. § PRODUCTION ACROSS COUNTRIES § INTERLINKING PRODUCTION ACROSS COUNTRIES**[5]**

How do Multi National Corporations (MNCs) interlink production across countries ? Explain with examples.

Previously asked in: 2022 32/4/1 Q10(b)

♦ Globalisation and the Indian Economy

MNCs and Interlinking of Production Across Countries

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Model Answer

MNCs interlink production across countries in the following ways:

1. **Setting up factories abroad:** MNCs establish production units where labour is cheap, resources are available, and markets are large. For example, an MNC designs products in the USA, manufactures components in China, assembles them in Mexico/Eastern Europe, and runs customer care from India — saving 50–60% in costs.
1. **Joint production with local companies:** MNCs partner with local firms, providing capital and latest technology. E.g., Ford Motors set up a plant in India in collaboration with Mahindra & Mahindra.
1. **Buying up local companies:** MNCs acquire local firms to expand production. E.g., Cargill Foods bought Parakh Foods and became India's largest edible oil producer.
1. **Placing orders with small producers:** MNCs outsource production of garments, footwear, and sports items to small producers worldwide and sell under their own brand names.

Thus, by partnerships, outsourcing, and acquisitions, MNCs spread and interlink production globally.

Source: Chapter 4 — Globalisation and the Indian Economy

Explanation

- Examiners expect **4–5 distinct points** with examples for a 5-mark answer.
- Always include **at least two examples** (Cargill/Ford/industrial equipment MNC) as they fetch marks.
- The key phrase to use is **"interlink production"** — show how different stages happen in different countries.
- Avoid repeating the same point; cover variety: joint ventures, buyouts, outsourcing, and direct investment.
- A brief concluding line summarising the outcome (production gets interlinked globally) rounds off the answer well.

Q3. § INTERLINKING PRODUCTION ACROSS COUNTRIES**[1]**

Which one of the following is a major benefit to a local company which goes for joint production with an MNC ?

- (A) MNC provides Money and Technology to local company.
- (B) MNC takes all decisions to reduce burden of local company.
- (C) MNC purchases all shares of local company for faster production.
- (D) MNC might ask for labour and capital investment from local company.

Previously asked in: 2023 32/6/1 Q11

♦ Globalisation and the Indian Economy

Benefits of Joint Production with MNCs for Local Companies

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Model Answer**(A) MNC provides Money and Technology to local company.**

The benefit to a local company in joint production is two-fold: MNCs provide money for additional investments (e.g., new machines) and bring the latest technology for production.

Source: Chapter 4, *Interlinking Production Across Countries*

Explanation

The passage explicitly states: "*The benefit to the local company of such joint production is two-fold. First, MNCs can provide money for additional investments... Second, MNCs might bring with them the latest technology.*"

Option (A) directly matches both points. Options (B), (C), and (D) are either incorrect or describe a different MNC activity (buying up local companies). In MCQs, always look for the option that matches the textbook language most closely.

Q4. § INTERLINKING PRODUCTION ACROSS COUNTRIES**[1]**

Which one of the following is a major benefit to an MNC when it works on joint production with a local company ?

- A MNC shares its latest technology with the local company.
- B MNC decides all parameters and prices of the product.
- C MNC shares its institutional policy with local company.
- D MNC built good and familial relations with the local company.

Previously asked in: 2023 32/1/1 Q10

♦ Globalisation and the Indian Economy

Benefits of MNC joint production with local companies

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Model Answer**Option A: MNC shares its latest technology with the local company.**

From the passage: "MNCs might bring with them the latest technology for production" as a benefit to the local company in joint production.

Explanation

The textbook explicitly states two benefits of joint production to the local company: (i) money for additional investment, and (ii) latest technology. Option A directly matches this. Options B and C are not stated as benefits of joint production, and Option D is not mentioned in the textbook.

Q5. § FOREIGN TRADE AND INTEGRATION OF MARKETS § Liberalisation of foreign trade and foreign investment policy § IMPACT OF [1]
GLOBALISATION IN INDIA

Two statements labelled as Assertion (A) and Reason (R) are given below. Read both the statements carefully and choose the correct option :

Assertion (A) : Foreign trade provides producers with opportunity to reach beyond domestic markets.

Reason (R) : The foreign trade expands the choice of goods other than those produced domestically.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
- (B) Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).
- (C) Assertion (A) is true, but Reason (R) is false.
- (D) Assertion (A) is false, but Reason (R) is true.

Previously asked in: 2026 32/3/1 Q29

♦ Globalisation and the Indian Economy

Role of Foreign Trade in expanding markets and choices

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Model Answer

(B) Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

Both statements are independently true facts about foreign trade, but expanding buyers' choice does not explain why producers can reach beyond domestic markets.

Explanation

- **A is true:** The textbook states "foreign trade creates an opportunity for the producers to reach beyond the domestic markets."
- **R is true:** The textbook also states "import of goods produced in another country is one way of expanding the choice of goods beyond what is domestically produced."
- However, R talks about the **buyer's side** (choice of goods), while A talks about the **producer's side** (reaching new markets). R does not explain *why* A is true — they are two separate, parallel outcomes of foreign trade. Hence **(B)** is correct.

Q6. § FACTORS THAT HAVE ENABLED GLOBALISATION**[1]**

Two Statements-I and II are given below. Read both the statements and choose the correct option.

Statement-I: In recent times technology in the areas of computer and internet has been changing rapidly.

Statement-II: Internet allows us to send instant electronic mail (e-mail) and talk (voice-mail) across the world at negligible costs.

- (A) Only I is false but II is true.
- (B) Only I is true but II is false.
- (C) Both I and II are true but II is not the correct explanation of I.
- (D) Both I and II are true and II is the correct explanation of I.

Previously asked in: 2025 32/5/1 Q20

♦ Globalisation and the Indian Economy

Technology and Globalisation: Role of Internet and Communication Technology

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Model Answer

(D) Both I and II are true and II is the correct explanation of I.

Statement I is true as technology in telecommunications, computers, and Internet has been changing rapidly. Statement II correctly explains this by giving the example of e-mail and voice-mail, showing how internet technology drives rapid change.

Source: Factors that have enabled Globalisation — Technology, Chapter 4

Explanation

Statement I is directly from the textbook: "In recent times, technology in the areas of telecommunications, computers, Internet has been changing rapidly." Statement II is also from the same paragraph: "Internet also allows us to send instant electronic mail (e-mail) and talk (voice-mail) across the world at negligible costs." Since II gives a concrete example of **why/how** technology is changing rapidly, it directly explains Statement I — making option **(D)** correct, not just **(C)**. Watch out: choose **(C)** only when both are true but II is unrelated to I.

Q7. § FOREIGN TRADE AND INTEGRATION OF MARKETS § WHAT IS GLOBALISATION? § Liberalisation of foreign trade and foreign investment policy [1]

If companies decide to import cotton from other countries, what will be its impact on domestic cotton cultivation? Choose the most appropriate option :

- I. Less profitable
- II. More profitable
- III. The price of domestic cotton will decrease
- IV. The price of domestic cotton will increase

- (A) Only I and IV are correct.
- (B) Only I and III are correct.
- (C) Only II and III are correct.
- (D) Only II and IV are correct.

Previously asked in: 2026 32/3/1 Q31

♦ Globalisation and the Indian Economy

Impact of imports on domestic production and pricing

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Model Answer

(B) Only I and III are correct.

When companies import cotton from other countries, cheaper foreign cotton floods the market, causing the price of domestic cotton to **decrease**, making domestic cotton cultivation **less profitable**.

Explanation

- Imports increase supply in the domestic market → prices fall (as seen in the Chinese toys example in the textbook).
- Falling prices hurt domestic producers → cultivation becomes less profitable.
- Options II and IV are opposite/incorrect — imports do not make domestic production *more* profitable or *increase* domestic prices.

Q8. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA [2]

Why did the Indian Government restrict foreign trade and foreign investment between 1947 – 1991? Explain.

Previously asked in: 2025 32/3/1 Q24

♦ Globalisation and the Indian Economy

Restrictions on Foreign Trade and Foreign Investment (1947–1991)

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Model Answer

The Indian government restricted foreign trade and foreign investment after Independence to **protect domestic producers from foreign competition**. Since industries were just coming up in the 1950s and 1960s, competition from imports at that stage would not have allowed these industries to develop. Therefore, only essential items like machinery, fertilisers, and petroleum were allowed to be imported.

Explanation

This is a standard 2-mark question from Chapter 4 (Globalisation). Examiners look for **two clear points**: (1) protection of domestic/infant industries from foreign competition, and (2) the context — industries were newly developing in 1950s–60s. Avoid writing too much; two focused sentences are enough. The exact phrase "industries were just coming up" from the textbook scores well.

Source: Globalisation and the Indian Economy, Chapter 4 — Liberalisation of foreign trade and foreign investment policy

Q9. § WHAT IS GLOBALISATION? § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION [1]

Which of the following is the main purpose of a trade barrier in global trade ? Choose the correct option.

- A To promote the growth of foreign companies in a country
- B To control the production of domestic industries
- C To regulate foreign trade into the country
- D To stop foreign trade between countries

Previously asked in: 2026 32/5/1 Q32

♦ Globalisation and the Indian Economy

Trade Barriers

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Model Answer

Option C: To regulate foreign trade into the country.

Trade barriers like taxes on imports are used by governments to increase or decrease (regulate) foreign trade and to decide what kinds of goods, and how much of each, should come into the country.

Source: *Liberalisation of foreign trade and foreign investment policy, Chapter 4*

Explanation

- Option A is wrong — trade barriers *restrict* foreign companies, not promote them.
- Option B is wrong — trade barriers do not directly control domestic production.
- Option D is wrong — the purpose is to *regulate*, not completely *stop*, foreign trade.
- The textbook explicitly states: "*Governments can use trade barriers to increase or decrease (regulate) foreign trade and to decide what kinds of goods and how much of each, should come into the country.*" This makes **C** the correct and precise answer.
- Remember: "regulate" is the key word here — trade barriers manage/control the flow of trade, they don't eliminate it entirely.

Q10. § WORLD TRADE ORGANISATION § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[1]

Which one of the following best describes liberalisation ?

- (A) Protecting domestic industries
- (B) Banning foreign companies
- (C) Removal of restrictions on trade
- (D) Restricting foreign investment

Previously asked in: 2026 32/1/1 Q32

♦ Globalisation and the Indian Economy

Liberalisation of foreign trade and investment policy

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Model Answer**(C) Removal of restrictions on trade**

Liberalisation means removing barriers such as taxes and quotas on trade and investment to allow free movement of goods and services between countries.

Source: *Summing Up / WTO section, Chapter 4*

Explanation

The passage explicitly states: "*liberalisation of trade and investment has facilitated globalisation by **removing barriers to trade and investment.***" Options A and D describe protectionism (the opposite), and B (banning foreign companies) is an extreme restriction. The examiner expects you to recall that liberalisation = removal of trade/investment restrictions.

Q11. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION

[1]

The removal of barriers on foreign trade and investment by the Indian government has been called as :

- (A) Industrialisation
- (B) Nationalisation
- (C) Privatisation
- (D) Liberalisation

Previously asked in: 2026 32/4/1 Q32

♦ Globalisation and the Indian Economy

Liberalisation of foreign trade and investment policy

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Model Answer**(D) Liberalisation**

Removing barriers or restrictions on foreign trade and foreign investment set by the government is known as **liberalisation**.

Source: Chapter 4, Liberalisation of foreign trade and foreign investment policy

Explanation

The passage explicitly states: "*Removing barriers or restrictions set by the government is what is known as **liberalisation.***" Examiners expect you to identify the correct term and may award the mark only for option (D). Writing the definition is optional but shows clarity.

Q12. § IMPACT OF GLOBALISATION IN INDIA**[3]**

Examine the steps taken by the Central and State governments to attract foreign companies to invest in India.

Previously asked in: 2022 32/3/1 Q6 (b)

♦ Globalisation and the Indian Economy

Steps taken by Central and State governments to attract foreign investment in India

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Model Answer

The Central and State governments have taken the following steps to attract foreign investment:

1. **Special Economic Zones (SEZs):** Industrial zones called SEZs are being set up with world-class facilities like electricity, water, roads, transport, storage, and educational facilities. Companies setting up units in SEZs are exempt from paying taxes for an initial period of five years.
1. **Flexible Labour Laws:** The government has allowed companies to relax labour laws — firms can hire workers on short-term, flexible contracts instead of regular employment, reducing labour costs to attract foreign companies.

Source: *Globalisation and the Indian Economy*, Chapter 4 — Steps to Attract Foreign Investment

Explanation

- This is a direct textbook question. Examiners expect **two clear points**: SEZs (with details) and flexible labour laws.
- Mention the **tax exemption for 5 years** — it's a specific detail that earns marks.
- Avoid writing vague points like "government made policies." Be specific.
- 3 marks = ~2 developed points + brief elaboration each. No need for an introduction.

Q13. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION**[1]**

Why did the Indian government liberalize trade regulations in 1991 ?

- (a) Government wanted foreign exchange equivalent to Indian Currency.
- (b) Government wanted to maintain good relations with Western Countries.
- (c) Government wanted Indian producers to compete in the World Market.
- (d) Government wanted to provide socio-economic justice to all.

Previously asked in: 2023 32/4/1 Q10

♦ Globalisation and the Indian Economy

Liberalisation of Trade and Investment in India (1991)

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Model Answer**(c) Government wanted Indian producers to compete in the World Market.**

The government felt that competition with global producers would improve the quality and performance of Indian producers.

Source: Liberalisation of foreign trade and foreign investment policy, Chapter 4

Explanation

The passage directly states: "*The government decided that the time had come for Indian producers to compete with producers around the globe.*" This is the key line to remember. All other options are either not mentioned or incorrect as per the textbook. Always link liberalisation (1991) to the idea of improving producer performance through global competition.

Q14. § INTERLINKING PRODUCTION ACROSS COUNTRIES § WHAT IS GLOBALISATION? § IMPACT OF GLOBALISATION IN INDIA

[5]

Explain any five steps taken by the Central and State Governments to attract foreign investments.

Previously asked in: 2023 32/2/1 Q33(b)

♦ Globalisation and the Indian Economy

Steps taken by Central and State Governments to attract foreign investment

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Model Answer

The Central and State Governments have taken the following steps to attract foreign investment:

1. **Special Economic Zones (SEZs):** Industrial zones called SEZs are being set up with world-class facilities like electricity, water, roads, transport, storage, and recreational and educational facilities.
1. **Tax Exemptions:** Companies setting up production units in SEZs do not have to pay taxes for an initial period of five years.
1. **Flexible Labour Laws:** Governments have allowed companies to ignore many rules that protect workers' rights, permitting them to hire workers flexibly for short periods, thereby reducing labour costs.
1. **Liberalisation of Trade and Investment Policy:** Barriers on foreign trade and foreign investment have been removed, allowing foreign companies to set up factories and offices easily in India.
1. **Infrastructure Development:** World-class infrastructure in SEZs ensures a business-friendly environment that attracts MNCs seeking efficient production locations.

Source: *Impact of Globalisation in India, Chapter 4*

Explanation

- The question is directly from the passage headed "**Steps to Attract Foreign Investment**" in Chapter 4. Examiners expect you to mention **SEZs, tax exemptions, flexible labour laws, and liberalisation** — these are the textbook points. The fifth point on infrastructure can be drawn from the SEZ description.
- Do not write vague general points; use the exact terms from the textbook (SEZ, liberalisation, trade barriers, flexible labour laws).
- Five points = 5 marks; keep each point concise and distinct.

Q15. § IMPACT OF GLOBALISATION IN INDIA**[3]**

Describe any three impacts of globalisation on Indian agriculture.

Previously asked in: 2024 32/5/1 Q26

♦ Globalisation and the Indian Economy

Impact of Globalisation on Indian Agriculture

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Model Answer

Three impacts of globalisation on Indian agriculture:

1. **Competition from cheap imports:** Under WTO rules, India had to remove trade barriers on agricultural goods. Developed countries like the USA give massive subsidies to their farmers, who then sell farm products at very low prices in Indian markets, adversely affecting Indian farmers.
1. **Pressure on small farmers:** Indian farmers face unfair competition as they do not receive similar government support, making it difficult to survive against heavily subsidised foreign farm products.
1. **Unequal trade rules:** WTO forced developing countries to reduce agricultural trade barriers while developed countries continued to protect their own farmers, hurting Indian agriculture's competitiveness in both domestic and global markets.

Source: Chapter 4 — World Trade Organisation / Impact of Globalisation in India

Explanation

The textbook focuses the agriculture impact mainly through the **WTO and subsidy debate** — US farmers receiving government money and selling cheaply abroad, harming farmers in developing countries like India. Examiners expect students to link **WTO rules** → **removal of trade barriers** → **cheap imports** → **harm to Indian farmers**. Don't confuse with general impacts on industry. Three distinct points are needed for 3 marks — one point per mark.

Q16. § Competition and Uncertain Employment**[3]**

Describe the impact of flexibility in the labour laws on the workers in India.

Previously asked in: 2023 32/5/1 Q27

♦ Globalisation and the Indian Economy

Flexibility in Labour Laws and Its Impact on Workers

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Model Answer

Flexibility in labour laws has severely impacted workers in India in the following ways:

1. **Insecure employment:** Workers are hired on a temporary/contract basis instead of permanently, making their jobs uncertain.
2. **Loss of benefits:** Workers lose entitlements like health insurance, provident fund, and paid leave that permanent workers enjoy.
3. **Low wages and long hours:** Workers are paid low wages and forced to work long hours and night shifts, especially during peak seasons.
4. **Resembles unorganised sector:** Even organised sector workers now face conditions similar to the unorganised sector, losing earlier protections.

This flexibility primarily benefits companies by reducing labour costs, while workers bear the burden.

Source: *Globalisation and the Indian Economy, Chapter 4 — Impact of Globalisation / Steps to Attract Foreign Investment*

Explanation

- The examiner expects **3 distinct points** for 3 marks. Listing them clearly earns full marks.
- Key terms to use: **temporary workers, job insecurity, loss of benefits, low wages, long working hours.**
- The example of **Sushila** (garment worker) can be cited to support your answer — it shows real impact.
- Do not confuse "flexibility benefits companies" with "flexibility benefits workers" — the question asks about impact **on workers**, which is largely negative.

Q17. § THE STRUGGLE FOR A FAIR GLOBALISATION

[5]

Analyse the ways to make globalization fair.

Previously asked in: 2023 32/1/1 Q33(b)

♦ Globalisation and the Indian Economy

Making Globalisation Fair

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Model Answer**Ways to Make Globalisation Fair:**

1. **Protect workers' rights:** The government must ensure labour laws are properly implemented so that workers receive fair wages and decent working conditions.
1. **Support small producers:** Government should support small producers to improve their performance until they are strong enough to compete with large MNCs.
1. **Use trade and investment barriers:** Where necessary, the government can impose trade and investment barriers to protect domestic industries from unfair competition.
1. **Negotiate at WTO:** The government should negotiate at the WTO for fairer rules, ensuring developing countries are not disadvantaged by the policies of developed nations.
1. **Collective bargaining:** Developing countries should unite and align with each other to collectively fight against the domination of developed countries in the WTO.
1. **People's participation:** Campaigns and representations by people's organisations can influence important trade and investment decisions at the international level, as seen at the WTO.

Source: Chapter 4, *The Struggle for a Fair Globalisation*

Explanation

- Examiners expect **5 distinct points** for a 5-mark question — each point earns 1 mark.
- Always use **bold headings** for each point; it makes the answer organised and easy to evaluate.
- All points must come directly from the textbook passage on "Fair Globalisation" — do not add outside information.
- The key idea to convey is the **dual role** of both the **government** and **people's organisations** in making globalisation fair.
- Avoid padding or repeating the same idea in different words.

Q18. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP**[1]**

Read the following statements for stimulating the process of globalization and choose the correct options :

- I. Government reduces trade barriers.
- II. Government reduces competition among producers.
- III. Government reduces import and export taxes.
- IV. Government removes restrictions on foreign investment.

- A Only I, II and III are correct.
- B Only II, III and IV are correct.
- C Only I, III and IV are correct.
- D Only I, II and IV are correct.

Previously asked in: 2025 32/6/1 Q3

♦ Globalisation and the Indian Economy

Role of Government in Stimulating Globalisation: Trade Barriers, Liberalisation and Foreign Investment

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Model Answer**Option C — Only I, III and IV are correct.**

Reducing trade barriers, reducing import/export taxes, and removing restrictions on foreign investment all stimulate globalisation. Statement II is incorrect as globalisation *increases* competition among producers, not reduces it.

Explanation

Statement II is the key trick here — globalisation increases competition (as seen in the chapter's discussion of greater competition among local and foreign producers). Examiners test whether students can distinguish between measures that *facilitate* globalisation (liberalisation, removing barriers) and its *effects* (more competition, not less). Eliminating Statement II straightaway points to option C.

Q19. § THE STRUGGLE FOR A FAIR GLOBALISATION

[5]

Assess, how globalization has touched the lives of larger society.

Previously asked in: 2022 32/1/1 Q10 (b)

♦ Globalisation and the Indian Economy

Benefits and Challenges of Globalisation

Impact of Globalisation on Society

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Model Answer**Impact of Globalisation on Society:**

1. **Unequal benefits:** Globalisation has not benefited everyone equally. People with education, skill and wealth have made the best use of new opportunities, while many others have not shared these benefits.
1. **Consumers:** Well-off consumers now enjoy a greater choice of goods and services at competitive prices due to integration of markets.
1. **Producers and workers:** Many small producers and workers have suffered due to rising competition from MNCs. However, skilled producers have expanded their businesses.
1. **Employment:** MNCs have created new job opportunities, especially in IT and service sectors, but labour rights have sometimes been compromised.
1. **Struggle for fair globalisation:** Massive campaigns by people's organisations have influenced WTO decisions, showing that ordinary people can fight for fair globalisation where opportunities and benefits are shared by all.

Source: Chapter 4 — The Struggle for a Fair Globalisation; Summing Up

Explanation

- Examiners expect **both positive and negative impacts** — a one-sided answer loses marks.
- The key phrase to use is "**not uniform**" — directly from the chapter.
- Mention **role of government and people's organisations** as it is a specific point from the "Fair Globalisation" section and often appears in 5-mark answers.
- Avoid writing long examples; crisp points with correct terms (MNCs, WTO, liberalisation) score better.

Q20. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[1]

Which one of the following statements best describes the meaning of 'Globalization' ?

- (A) Removal of tax barriers on trade
- (B) Providing higher standard of living
- (C) Process of rapid integration between countries
- (D) Taking special steps to attract foreign companies

Previously asked in: 2024 32/4/1 Q18

♦ Globalisation and the Indian Economy

Meaning and Definition of Globalisation

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Model Answer**(C) Process of rapid integration between countries****Explanation**

The textbook (Chapter 4, "What is Globalisation?") explicitly defines: "**Globalisation is this process of rapid integration or interconnection between countries.**" Option C matches this definition word-for-word. The other options describe *effects* or *tools* of globalisation, not its meaning.

Q21. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

Examine five factors to promote the process of globalisation.

Previously asked in: 2024 32/3/1 Q33(b)

♦ Globalisation and the Indian Economy

Factors enabling/promoting Globalisation

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Model Answer**Five Factors Promoting Globalisation:**

1. **MNCs (Multinational Corporations):** MNCs invest in countries where production is cheap and control a large part of foreign trade, driving rapid integration of markets across countries.
1. **Technology (IT):** Rapid advancement in information technology has made it possible to organise production across countries and spread services globally, reducing distances and communication costs.
1. **Liberalisation of Trade and Investment:** Removal of barriers to trade and investment by governments has allowed goods, services, and capital to flow freely between countries.
1. **WTO (World Trade Organisation):** At the international level, WTO has put pressure on developing countries to liberalise trade and investment, facilitating global integration.
1. **Special Economic Zones (SEZs):** Governments set up SEZs offering world-class facilities and tax exemptions to attract foreign investment, further boosting globalisation.

Source: Chapter 4 – What is Globalisation?, Impact of Globalisation in India, Summing Up

Explanation

Examiners expect five distinct, labelled points. Each point should name the factor and briefly explain **how** it promotes globalisation — one or two sentences each is sufficient. Avoid vague statements like "technology is important"; instead state its specific role (e.g., organising cross-country production). These five factors are directly supported by the chapter passages, so use textbook language where possible.

Q22. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP**[5]**

Analyse the role of Liberalisation in the globalisation.

Previously asked in: 2024 32/3/1 Q33(a)

♦ Globalisation and the Indian Economy

Role of Liberalisation in Globalisation

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Model Answer**Role of Liberalisation in Globalisation:**

1. **Removal of Barriers:** Liberalisation refers to the removal of trade and investment barriers such as taxes, quotas, and restrictions. This allows goods, services, and capital to move freely across countries.
1. **Facilitating Foreign Trade:** When governments liberalise policies, foreign trade between countries increases rapidly, integrating markets across the world.
1. **Attracting MNCs:** Liberalisation encourages MNCs to invest in countries with cheap labour and resources, expanding global production networks.
1. **Role of WTO:** At the international level, the WTO pressures developing countries to liberalise trade and investment, further accelerating globalisation.
1. **Unequal Impact:** However, developed countries have unfairly retained their own trade barriers while forcing developing countries to liberalise, making the process one-sided.
1. **Conclusion:** Thus, liberalisation has been a key enabler of globalisation, though it must be made fairer to benefit all nations equally.

Source: Chapter 4 – Globalisation and the Indian Economy

Explanation

- The examiner expects you to define liberalisation first, then link it step-by-step to globalisation.
- Mention WTO specifically — it is a key term in the chapter and earns marks.
- The "unfair" aspect (developed vs. developing countries) is important for full marks at this level.
- Avoid writing a vague essay; use numbered points or short paragraphs for clarity.
- The conclusion line ties the answer together and signals completeness to the examiner.

Q23. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[1]

Which one of the following is a significant aspect of globalisation ?

- (A) Uniform Culture
- (B) Environmental Support
- (C) Support to Domestic Market
- (D) Access to New Markets

Previously asked in: 2024 32/3/1 Q15

♦ Globalisation and the Indian Economy

Meaning and Significant Aspects of Globalisation

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Model Answer**(D) Access to New Markets****Explanation**

Globalisation integrates countries through greater foreign trade and investment, enabling producers and MNCs to reach markets beyond their own country. Options A, B, and C contradict globalisation's effects (it promotes cultural diversity, raises environmental concerns, and expands beyond domestic markets).

Q24. § WHAT IS GLOBALISATION? § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA

[5]

"Foreign trade and foreign investment policies are the aspects of liberalisation and globalisation." Explain the statement with examples.

Previously asked in: 2024 32/2/1 Q33(b)

♦ Globalisation and the Indian Economy

Foreign Investment and Liberalisation

Foreign Trade and Liberalisation

Role of Liberalisation in Globalisation

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Model Answer

Foreign Trade and Liberalisation:

Before 1991, the Indian government put barriers like high taxes (tariffs) and import quotas on foreign goods to protect domestic producers. Liberalisation meant removing these restrictions. For example, after liberalisation, Chinese toys entered Indian markets at cheaper prices, giving buyers greater choice and forcing Indian producers to compete — this integrated markets across countries.

Foreign Investment and Liberalisation:

Earlier, MNCs faced restrictions on investing in India. After liberalisation, barriers were removed to attract foreign investment. The government set up Special Economic Zones (SEZs) with world-class facilities and tax exemptions for five years. MNCs like Ford Motors invested in India, producing goods both for domestic markets and for export — boosting integration of production worldwide.

Thus, liberalising trade and investment policies removed restrictions, allowed free flow of goods and capital, and accelerated globalisation.

Source: Chapter 4 — Globalisation and the Indian Economy

Explanation

- The question links two concepts: **foreign trade policy** (removal of tariffs/quotas) and **foreign investment policy** (allowing MNCs, setting up SEZs) to **liberalisation and globalisation**.
- Examiners expect one example for each — the Chinese toys example is ideal for trade; Ford Motors/SEZs for investment.
- Don't just define globalisation — show *how* removing barriers in trade AND investment leads to it.
- Avoid padding; 5 marks = ~5 focused points or 2 tight paragraphs + conclusion.

Q25. § IMPACT OF GLOBALISATION IN INDIA**[5]**

Explain how globalisation has impacted the Indian economy. Analyse both positive and negative aspects.

Previously asked in: 2025 32/1/1 Q33(b)

♦ Globalisation and the Indian Economy

Impact of Globalisation on the Indian Economy

Negative Effects of Globalisation

Positive Effects of Globalisation

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Model Answer**Impact of Globalisation on the Indian Economy****Positive Impacts:**

1. **Greater consumer choice:** Globalisation and competition have improved quality and lowered prices of goods, raising living standards — especially for urban, well-off consumers.
1. **Increased MNC investment:** MNCs have invested in sectors like automobiles, electronics, cell phones, and banking, creating new jobs and benefiting local suppliers.
1. **Growth of Indian MNCs:** Companies like Tata Motors, Infosys, and Ranbaxy have expanded worldwide, aided by technology upgrades and foreign collaborations.
1. **New service opportunities:** IT-based services — call centres, data entry, accounting — have grown rapidly, generating employment.

Negative Impacts:

1. **Unequal benefits:** Small producers and workers in unorganised sectors face intense competition from MNCs and have often suffered losses.
1. **Flexible labour laws:** To attract foreign investment, governments allowed companies to hire workers on short-term contracts, reducing job security and workers' rights.
1. **Unfair trade:** WTO rules have forced developing countries to remove trade barriers, while developed nations continue subsidising their farmers, harming Indian agriculture.

Source: Chapter 4 — Globalisation and the Indian Economy

Explanation

- Examiners expect **both positive and negative points** clearly separated — use headings or numbering.
- Quote specific examples from the textbook: Tata Motors, Infosys, SEZs, WTO, flexible labour laws — these earn full marks.
- Avoid vague statements; each point must be precise and tied to the Indian context.
- 5 marks = roughly 5 distinct points (2–3 positive + 2–3 negative) with brief explanation for each.

Q26. § Introduction

[5]

How are our markets transformed in recent years ? Explain with examples.

Previously asked in: 2022 32/4/1 Q10(a)

♦ Globalisation and the Indian Economy

Transformation of Markets due to Globalisation

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Model Answer**Transformation of Markets in Recent Years:**

1. **Wide variety of goods:** Earlier, only a few brands were available (e.g., only Ambassador and Fiat cars). Today, Indians can buy cars from nearly all top global companies. A similar explosion of brands is seen in shirts, televisions, and processed juices.
1. **Role of MNCs:** More MNCs have invested in India in sectors like cell phones, automobiles, electronics, fast food, and banking, increasing consumer choice and creating new jobs.
1. **Better quality at lower prices:** Greater competition among local and foreign producers has improved product quality and reduced prices, raising living standards of consumers.
1. **Technology:** Improvements in transportation, telecommunications, computers, and the Internet have enabled faster movement of goods and services across countries.
1. **Indian companies going global:** Companies like Tata Motors, Infosys, and Ranbaxy have themselves emerged as MNCs, spreading operations worldwide.
1. **New service opportunities:** IT-enabled services like data entry, call centres, and accounting are now exported, creating fresh opportunities for Indian companies.

Source: Chapter 4 – Globalisation and the Indian Economy

Explanation

- The examiner expects you to link **market transformation** directly to **globalisation, MNCs, technology, and consumer impact**.
- Use specific examples from the chapter: Ambassador/Fiat → global car brands; Tata Motors, Infosys as Indian MNCs.
- 5 marks = ~5 distinct points. Avoid writing an essay; crisp numbered points score well in board exams.
- Key terms to include: **MNCs, globalisation, competition, technology, SEZs** (briefly if relevant).

Q27. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

"The impact of globalisation has not been uniform." Explain the statement with suitable examples.

Previously asked in: 2022 32/2/1 Q10(b)

♦ Globalisation and the Indian Economy

Impact of Globalisation on Various Sectors and Groups

Uneven Impact of Globalisation

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Model Answer

"The impact of globalisation has not been uniform" means that different groups of people have been affected differently by globalisation.

Beneficiaries:

- **Well-off consumers** enjoy greater choice, better quality, and lower prices for products like electronics and automobiles.
- **Skilled producers and large companies** like Tata Motors and Infosys have grown into MNCs themselves by investing in new technology.
- **IT sector** has gained new opportunities through call centres, data entry, and services exported to developed countries.

Those who suffered:

- **Small producers** — local toy, battery, and capacitor industries face intense competition from MNC goods and struggle to survive.
- **Workers** — labour laws have been made flexible, leading to short-term contracts and job insecurity.

Thus, people with education, skill, and wealth have benefited most, while many small producers and workers have not shared these benefits equally.

Source: Chapter 4 — Impact of Globalisation in India; The Struggle for a Fair Globalisation

Explanation

Examiners look for **two clear sides** — who benefited and who did not — with **specific examples** (Tata Motors, IT sector, small producers, flexible labour). Avoid vague statements; name industries or groups. The concluding line tying back to the statement earns full marks. Keep each point crisp — one line per example is enough for a 5-mark answer.

Q28. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP

[5]

"Technology is the vital force in the modern form of globalisation." Explain the statement with suitable examples.

Previously asked in: 2022 32/2/1 Q10(a)

♦ Globalisation and the Indian Economy

Role of technology in globalisation

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Model Answer

Technology is the vital force in modern globalisation because it has made the rapid movement of goods, services, and information across countries possible and affordable.

Transportation Technology: Improvements in transportation, especially the use of **containers**, have reduced port handling costs and increased export speed. Goods loaded in containers can be shifted intact between ships, railways, planes, and trucks. The fall in air transport costs has also enabled greater volumes of goods to be carried by airlines.

Information and Communication Technology (ICT): Telecommunications, computers, and the Internet allow instant communication across the world at negligible cost. Satellite communication enables contact from remote areas. E-banking allows instant international money transfers.

Example: A London magazine is sent via Internet to Delhi for designing, instructions are given through telecommunication, and payment is made through e-banking — all enabled by IT.

Thus, without technological advancement, globalisation in its present form would not have been possible.

Source: Chapter 4 — Globalisation and the Indian Economy, Section: Factors that have enabled Globalisation — Technology

Explanation

- Examiners expect **two clear aspects**: transport technology and ICT, each with examples.
- The container example and the magazine/Delhi-London example from the textbook are must-mentions for full marks.
- Use **bold headings** to separate points — this signals structured thinking to the examiner and makes the answer easy to mark.
- Avoid writing a vague general essay; each point should link technology directly to globalisation.
- The concluding line ties the answer back to the question statement, which examiners reward.

Q29. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP**[5]**

'Among producers and workers, the impact of globalization has not been uniform.' Support the statement with suitable arguments.

Previously asked in: 2023 32/6/1 Q33(b)

♦ Globalisation and the Indian Economy

Benefits of Globalisation for Certain Producers and Skilled Workers

Impact of Globalisation on Small Producers and Local Industries

Impact of Globalisation on Workers and Employment

Uneven Impact of Globalisation on Producers and Workers

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Model Answer

Among producers and workers, the impact of globalisation has not been uniform:

1. **MNCs and large companies benefited:** MNCs increased investments in India in sectors like automobiles, electronics, and IT. Top Indian companies like Tata Motors and Infosys invested in new technology, raised production standards, and some even emerged as MNCs themselves.
1. **Small producers suffered:** Small manufacturers in sectors like toys, batteries, and capacitors faced stiff competition from cheaper imported goods, causing many units to shut down.
1. **Skilled workers gained:** Workers with education and skills found new opportunities in IT, call centres, and services sector.
1. **Unskilled workers suffered:** Workers in garment export industries face temporary employment, long working hours, low wages, and no social security benefits, as seen in Sushila's case.
1. **Flexible labour laws hurt workers:** To attract foreign investment, governments allowed companies to hire workers temporarily, removing earlier protections enjoyed by organised sector workers.

Source: Chapter 4 — Impact of Globalisation in India; Competition and Uncertain Employment

Explanation

The examiner expects you to give **both sides clearly** — who benefited and who did not — with specific examples (Tata Motors, Infosys for positives; garment workers, small producers for negatives). Always mention the **reason** behind inequality (competition, flexible labour laws, skill gap). Sushila's case is a strong real-life example to include. Avoid writing vague statements; use the textbook's own examples for full marks.

Q30. § FACTORS THAT HAVE ENABLED GLOBALISATION**[5]**

'Improvement in technology has stimulated the globalisation process.' Explain the statement with examples.

Previously asked in: 2024 32/1/1 Q33(B)

♦ Globalisation and the Indian Economy

Role of Technology in Stimulating Globalisation

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Model Answer

Technology has been a major enabler of globalisation in the following ways:

1. **Improvements in Transportation:** Faster and cheaper transportation of goods has become possible. Use of **containers** on ships, railways, planes, and trucks has reduced port handling costs and increased speed of exports reaching markets.
1. **Fall in Air Transport Costs:** Lower air freight costs have enabled much greater volumes of goods to be transported by airlines.
1. **Telecommunications:** Telephone, mobile phones, fax, and satellite communication allow people to contact anyone across the world instantly, even from remote areas.
1. **Computers and Internet:** Internet enables instant sharing of information, e-mail, and voice-mail across the world at negligible cost.
1. **IT in Production of Services:** For example, a London magazine is designed in Delhi — text sent via internet, instructions via telecommunication, payment via e-banking. IT has thus spread production of services across countries.

Source: Chapter 4 – *Understanding Economic Development*, Section: Factors that have enabled Globalisation – Technology

Explanation

- The examiner expects **5 clear points** for 5 marks — one per factor/example.
- Always **name the technology** (containers, internet, satellite) and **link it to globalisation** (lower costs, faster delivery, cross-border services).
- The **London-Delhi magazine example** is the textbook's own case study — always mention it for full marks.
- Avoid generic statements; be specific about *how* the technology helped.

Q31. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[5]

"Globalisation is the process of rapid integration or interconnection between countries." Explain the statement with examples.

Previously asked in: 2024 32/1/1 Q33(A)

♦ Globalisation and the Indian Economy

Examples of Globalisation – Trade, Investment and Technology

Meaning and Process of Globalisation

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Model Answer

Globalisation is the process of rapid integration or interconnection between countries through greater foreign trade, foreign investment, and movement of goods, services, and technology.

Examples illustrating the statement:

1. **MNCs integrating production globally** – Ford Motors' plant in India produces cars for the Indian market, exports cars to other developing countries, and also exports car components to its factories worldwide. This shows how production itself is integrated across countries.
1. **Trade linking markets** – Indian markets today sell goods produced in many countries. Consumers can choose from brands made across the world, showing market integration.
1. **IT enabling service integration** – A London magazine is designed in Delhi using the Internet and telecommunication, printed there, and sent back – connecting businesses across continents.
1. **MNC investments** – Rising foreign investment by MNCs in developing countries has increased economic interconnection.

Thus, globalisation links countries through trade, investment, technology, and production, making the world more interdependent.

Source: Chapter 4 – Globalisation and the Indian Economy, 'What is Globalisation?' section

Explanation

- The examiner expects a **definition** followed by **at least 3–4 examples** that directly illustrate *integration/interconnection* – not just a list of benefits.
- Use textbook examples (Ford Motors, Delhi-London magazine, MNCs) as they are safe, accurate answers.
- Avoid writing about impacts/effects unless asked; the question only asks to **explain the statement with examples**.
- The phrase "rapid integration or interconnection" is the textbook definition – quote it directly for full marks.

Q32. § Liberalisation of foreign trade and foreign investment policy**[1]**

Choose the correct option to fill the blank.

Removing barriers or restrictions on business and trade set by the government is called as _____.

- (a) Disinvestment
- (b) Special Economic Zones
- (c) Liberalisation
- (d) Foreign Direct Investment

Previously asked in: 2024 32/1/1 Q16

♦ Globalisation and the Indian Economy

Liberalisation

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Model Answer**(c) Liberalisation**

Removing barriers or restrictions on business and trade set by the government is called **Liberalisation**.

Explanation

The textbook explicitly states: "Removing barriers or restrictions set by the government is what is known as liberalisation." Disinvestment refers to the government selling its stake in public enterprises; SEZs are special industrial zones; FDI is foreign investment in another country — none of these match the definition given.

Q33. § FACTORS THAT HAVE ENABLED GLOBALISATION**[2]**

How did information and communication technology promote the process of Globalization ? Explain.

Previously asked in: 2025 32/6/1 Q21

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in Globalisation

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Model Answer

Information and Communication Technology (ICT) promoted globalisation in the following ways:

- **Telecommunication** (telephone, fax, mobile phones, internet) enables instant contact across the world, even from remote areas.
- **Internet** allows sharing of information, sending e-mails, and e-banking at negligible costs, helping production of services spread across countries.

For example, a magazine designed in Delhi for London readers uses internet and telecommunication at every step, making global production possible.

Source: Chapter 4 – Globalisation and the Indian Economy, "Factors That Have Enabled Globalisation – Technology"

Explanation

- Examiners expect **two distinct points** for 2 marks — one point per mark.
- Mention **specific examples of ICT tools** (internet, telecom, e-banking) rather than vague statements.
- The textbook example of the Delhi-London magazine is ideal to illustrate the point concretely.
- Do not confuse transportation technology with ICT — keep them separate.

Q34. § FACTORS THAT HAVE ENABLED GLOBALISATION**[1]**

The growth of digital technology has greatly influenced globalization. Which of the following is its main benefit ?

- (a) Increased Communication Cost
- (b) Limited Access to Information
- (c) Enhanced Connectivity
- (d) Slower Transaction Speed

Previously asked in: 2025 32/4/1 Q19

♦ Globalisation and the Indian Economy

Role of Digital Technology in Globalisation

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Model Answer**(c) Enhanced Connectivity**

Digital technology improves communication and information sharing across the world, enabling enhanced connectivity — the main benefit of its role in globalization.

Source: Factors that have enabled Globalisation — Technology, Chapter 4

Explanation

The passage clearly states that developments in ICT (telecommunications, computers, Internet) allow people to "contact one another around the world" and "access information instantly." This directly points to **Enhanced Connectivity** as the key benefit. The other options contradict the passage: costs *decreased*, access *expanded*, and transaction speed *increased* — not the opposite.

Q35. § WHAT IS GLOBALISATION? § SUMMING UP**[3]**

How does the interlinking of production across the world promote globalisation ? Explain.

Previously asked in: 2026 32/3/1 Q36

♦ Globalisation and the Indian Economy

Interlinking of Production Across Countries and Globalisation

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Model Answer

Interlinking of production across the world promotes globalisation in the following ways:

1. **MNCs spread production globally** — They divide the production process into small parts and spread them across different countries. For example, an MNC may design products in the USA, manufacture components in China, assemble them in Mexico, and run customer care from India.
1. **Greater foreign trade and investment** — As MNCs produce in multiple countries, foreign trade and investment between countries increase, leading to greater integration of markets.
1. **Cost efficiency drives expansion** — MNCs seek cheap labour and resources globally, which encourages them to connect more countries into their production network, deepening globalisation.

This complex, cross-border organisation of production integrates countries more closely, promoting rapid globalisation.

Source: Chapter 4 — Globalisation and the Indian Economy, "Production Across Countries" and "What is Globalisation?"

Explanation

Examiners look for three clear points: the role of MNCs in splitting production across countries, the resulting rise in foreign trade and investment, and how this integration of production = globalisation. The Ford/MNC example from the chapter earns credit. Avoid vague statements — link each point directly to globalisation. Three marks = three distinct, concise points.

Q36. § Liberalisation of foreign trade and foreign investment policy**[1]**

Why do some countries impose tariffs on imported goods in the context of globalization ? Choose the correct reason from the following options :

- A To support free trade
- B To protect local industries
- C To attract investment
- D To lower import costs

Previously asked in: 2026 32/2/1 Q30

♦ Globalisation and the Indian Economy

Tariffs and Trade Barriers in Globalisation

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Countries impose tariffs on imported goods to protect domestic producers from foreign competition by making imports more expensive.

Source: *Liberalisation of foreign trade and foreign investment policy, Chapter 4*

Explanation

The passage clearly states that trade barriers like import taxes are used to protect domestic producers from foreign competition. The Indian toy example shows how a tax raises the price of Chinese toys, reducing imports and helping Indian manufacturers. Examiners expect students to link tariffs directly to protection of local/domestic industries — not free trade, investment, or lowering costs.

Q37. § WORLD TRADE ORGANISATION § SUMMING UP**[3]**

Examine the debate that took place in the World Trade Organisation for the developing countries.

Previously asked in: 2022 32/3/1 Q6 (a)

♦ Globalisation and the Indian Economy

WTO Debate and Developing Countries

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The major debate in the WTO regarding developing countries centres on unfair trade practices by developed nations.

- WTO rules forced developing countries like India to **remove trade barriers**, while developed countries like the US **continued to retain** their own barriers.
- The US government gives **massive subsidies** to its farmers, allowing them to sell farm products at abnormally low prices in other country markets, harming farmers in developing nations.
- Developing countries argued: *"We reduced trade barriers as per WTO rules, but you have continued to support your farmers. You asked our governments to stop supporting our farmers, but you are doing so yourselves. Is this free and fair trade?"*

Source: World Trade Organisation, Chapter 4

Explanation

The examiner expects three clear points: (1) WTO's double standard — rules applied unequally, (2) the specific example of US agricultural subsidies and their impact, and (3) the demand/argument raised by developing countries. Using the direct quote from the textbook as the developing countries' argument scores well. Avoid going beyond the textbook content for this question.

Q38. § IMPACT OF GLOBALISATION IN INDIA**[5]**

Examine the factors which facilitate globalization in India.

Previously asked in: 2022 32/1/1 Q10 (a)

♦ Globalisation and the Indian Economy

Factors facilitating globalisation

Liberalisation and removal of trade barriers

Role of MNCs in globalisation

Role of technology in globalisation

World Trade Organisation (WTO) and global trade rules

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Model Answer

The following factors facilitate globalisation in India:

1. **Technology (IT):** Rapid improvements in information technology, transport, and communication have made it easier and cheaper to connect producers, suppliers, and markets across countries.
1. **Liberalisation of Trade and Investment:** The Indian government removed trade barriers such as quotas and taxes on imports, allowing free flow of goods, services, and investments across borders.
1. **Special Economic Zones (SEZs):** The government set up SEZs with world-class facilities — electricity, roads, water, storage — and offered tax exemptions for five years to attract foreign companies.
1. **Flexibility in Labour Laws:** Governments allowed companies to hire workers on short-term/contract basis, reducing labour costs, thereby attracting foreign investment.
1. **Role of MNCs:** MNCs actively seek cheap production locations globally, increasing foreign investment and trade, which deepens integration between countries.
1. **WTO:** At the international level, WTO pressured developing countries to liberalise trade and investment policies, further facilitating globalisation.

Source: Chapter 4 — Globalisation and the Indian Economy

Explanation

- Examiners expect **5 distinct, labelled points** for a 5-mark question of this type — one point per mark.
- Each point should have a **heading + brief explanation** (1–2 sentences).
- Key terms to use: liberalisation, SEZs, MNCs, WTO, IT — these signal textbook knowledge.
- Avoid writing long paragraphs; crisp points score better in board exams.
- The question says "facilitate," so focus on **enabling factors**, not impacts.

Q39. § FACTORS THAT HAVE ENABLED GLOBALISATION**[1]**

In which one of the following ways has information and communication technology stimulated the globalisation process the most ?

- (a) Access foods across countries
- (b) Access raw material across countries
- (c) Access services across countries
- (d) Access information instantly across countries

Previously asked in: 2023 32/5/1 Q20

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in Globalisation

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Model Answer**(d) Access information instantly across countries**

ICT (telecommunications, internet, computers) allows instant access and sharing of information across the world, directly stimulating globalisation by connecting producers and markets.

Source: Globalisation and the Indian Economy, Factors that have enabled Globalisation — Technology

Explanation

The passage explicitly states that telecommunication and internet facilities are used "to access information instantly" across countries. While ICT also helps spread services globally, the **most direct** stimulus to globalisation mentioned is instant information access — enabling coordination of production, trade, and communication worldwide. Options (a), (b), and (c) relate more to trade and transport, not specifically to ICT.

Q40. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP

[3]

How is information technology connected with globalization ? Explain.

Previously asked in: 2023 32/4/1 Q27

♦ Globalisation and the Indian Economy

Role of Information Technology in Globalisation

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Model Answer

Information technology (IT) has played a major role in spreading globalisation by enabling rapid communication and coordination across countries.

- **Telecommunication** (telephone, mobile, fax) and the **Internet** allow instant communication across the world at negligible cost.
- IT enables MNCs to organise production across countries — for example, a London magazine can be designed in Delhi, with text sent via Internet and instructions given through telecommunication.
- **E-banking** allows instant money transfer across countries.
- IT helps spread production of services (like call centres in India serving global customers) globally.

Without the expansion of IT, such rapid integration of countries would not have been possible.

Source: Chapter 4 — Globalisation and the Indian Economy, Section: Factors that have enabled Globalisation (Technology)

Explanation

- The examiner expects you to directly link IT tools (Internet, telecom, computers) to how production and services are spread across countries.
- The magazine example from the textbook is a perfect illustration — mention it briefly.
- End by stating that globalisation would not have been possible without IT expansion, as the textbook implies.
- Avoid generic statements; use specific terms like telecommunication, e-banking, Internet, call centres.

Q41. § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP**[1]**

Which one of the following is a challenge of Globalisation ?

- (a) Access to New Markets
- (b) Access to New Talent
- (c) International Recruitment
- (d) Disproportionate Growth

Previously asked in: 2023 32/2/1 Q20

♦ Globalisation and the Indian Economy

Challenges of Globalisation

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Model Answer**(d) Disproportionate Growth**

Globalisation has led to uneven benefits — while the wealthy and skilled have gained, many small producers and workers have suffered, causing disproportionate growth.

Explanation

The other three options (access to new markets, new talent, international recruitment) are **benefits** of globalisation, not challenges. Disproportionate growth is a challenge because globalisation has not been uniform in its impact — it has widened inequality between rich and poor, and between developed and developing countries. The passage clearly states that "not everyone has benefited from globalisation." Examiners expect students to distinguish between benefits and challenges of globalisation.

Q42. § FACTORS THAT HAVE ENABLED GLOBALISATION**[2]**

How have the developments in information and communication technology been the major factor to enable globalisation ? Explain.

Previously asked in: 2024 32/5/1 Q24

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in enabling Globalisation

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Model Answer

Developments in information and communication technology (ICT) have enabled globalisation in the following ways:

- **Telecommunication** (telephone, mobile, fax) and **Internet** allow instant communication across the world at negligible cost, connecting businesses in different countries.
- **Computers and Internet** help in spreading production of services globally — for example, a magazine designed in Delhi for a London publisher using e-mail and e-banking.

Thus, ICT has made it possible to organise production across countries rapidly and cheaply.

Source: Chapter 4 — Globalisation and the Indian Economy, "Factors that have Enabled Globalisation — Technology"

Explanation

Examiners look for two clear points: (1) what ICT tools are involved (telecom, internet, computers), and (2) how they enable globalisation (instant communication, spreading services across countries). The Delhi-London magazine example is a textbook illustration — using it shows you read the chapter. Avoid writing about transport technology here; the question specifically asks about **information and communication technology**.

Q43. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP

[2]

How is technology an important factor of globalisation ? Explain with examples.

Previously asked in: 2024 32/4/1 Q24

♦ Globalisation and the Indian Economy

Technology as a Factor of Globalisation

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Model Answer

Technology stimulates globalisation by enabling faster movement of goods, services, and information at lower costs.

Examples:

- **Transportation:** Use of containers has reduced port handling costs and increased the speed of exports reaching markets.
- **IT/Internet:** A magazine designed in Delhi for London readers is sent via Internet and email, making cross-country service production possible.

Source: Factors That Have Enabled Globalisation, Chapter 4

Explanation

For a 2-mark question, examiners expect: one clear statement defining the role of technology + two distinct examples (one from transport, one from IT/communication). Avoid writing lengthy paragraphs. The examples from the textbook (containers, magazine example) are the safest to use as they are directly prescribed. Do not add outside examples unless you also cover the textbook ones.

Q44. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION

[5]

"Rapid improvement in technology has been one major factor that has stimulated the globalisation process." Explain the statement with examples.

Previously asked in: 2024 32/2/1 Q33(a)

♦ Globalisation and the Indian Economy

Role of Technology in Stimulating Globalisation

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Model Answer

Rapid improvement in technology has stimulated globalisation in the following ways:

1. Improvements in Transport Technology:

Over the past fifty years, transportation has improved significantly. The use of **containers** — which can be loaded onto ships, railways, planes and trucks — has reduced port handling costs and increased the speed of exports reaching markets. The cost of air transport has also fallen, enabling greater volumes of goods to be transported.

2. Information and Communication Technology (ICT):

Developments in telecommunications, computers and the Internet have been remarkable. Telephone, mobile phones, fax and satellite communication allow instant contact across the world. The Internet enables instant e-mail and voice communication at negligible cost.

3. IT in Spreading Services:

IT has spread production of services across countries. For example, a London magazine is designed in Delhi — text is sent via Internet, designing done on computers, and payment made through e-banking. This shows how technology directly enables globalisation.

Source: Chapter 4 — Globalisation and the Indian Economy, "Factors that have enabled Globalisation — Technology"

Explanation

- Examiners expect **two broad heads**: transport technology and ICT/IT, with examples.
- The container example and the Delhi-London magazine example are textbook examples — always include them for full marks.
- Avoid writing a general essay; use brief labelled points for clarity and easy marking.
- 5 marks = roughly 3 developed points with examples. Quality over quantity.

Q45. § WHAT IS GLOBALISATION? § SUMMING UP**[1]**

Match the following aspects of globalization with their descriptions and choose the correct option.

List-I (Global Aspect) — List-II (Description)

- I. Technological Advancement — a. Interaction of ideas, values and traditions
II. Liberalization of Trade — b. Companies operating in many countries
III. Cultural Exchange — c. Innovation in manufacturing, communication and information
IV. Multinational Corporations — d. The removal of restriction on trade

- (A) I-a, II-b, III-c, IV-d
(B) I-c, II-d, III-a, IV-b
(C) I-d, II-c, III-b, IV-a
(D) I-b, II-a, III-d, IV-c

Previously asked in: 2024 32/2/1 Q19

♦ Globalisation and the Indian Economy

Aspects of Globalisation: Technological Advancement, Liberalisation of Trade, Cultural Exchange, and Multinational Corporations

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Model Answer**(B) I-c, II-d, III-a, IV-b**

Technological Advancement → Innovation in manufacturing, communication and information; Liberalization of Trade → removal of restrictions on trade; Cultural Exchange → interaction of ideas, values and traditions; MNCs → companies operating in many countries.

Explanation

Match each term to its definition logically: Technology = innovation; Liberalization = removing trade restrictions (as stated in the chapter); Cultural Exchange = interaction of ideas/values; MNCs = companies operating across multiple countries. Option B is the only correct combination.

Q46. § Liberalisation of foreign trade and foreign investment policy § WORLD TRADE ORGANISATION**[1]**

Choose the correct option to fill in the blank:

The process of removing barriers on foreign trade and investment by the government is known as _____.

- A Import Tax
B Export Tax
C Liberalisation
D Industrialisation

Previously asked in: 2025 32/3/1 Q13

♦ Globalisation and the Indian Economy

Liberalisation

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Model Answer**C) Liberalisation**

The process of removing barriers or restrictions on foreign trade and investment set by the government is known as **Liberalisation**.

Explanation

The passage directly states: "Removing barriers or restrictions set by the government is what is known as liberalisation." Import Tax and Export Tax are types of trade barriers, not their removal. Industrialisation refers to industrial development. Examiners expect the exact term with its meaning.

Source: Chapter 4, Liberalisation of foreign trade and foreign investment policy.

Q47. § WHAT IS GLOBALISATION? § THE STRUGGLE FOR A FAIR GLOBALISATION § SUMMING UP

[2]

"Globalisation is the process of rapid integration and interconnection between countries." Explain the statement with examples.

Previously asked in: 2025 32/2/1 Q24

♦ Globalisation and the Indian Economy

Definition and Process of Globalisation

Examples of Globalisation and Global Integration

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Model Answer

Globalisation is the process of rapid integration or interconnection between countries through greater foreign trade, foreign investment, and movement of goods, services, and technology.

Examples:

- Ford Motors in India produces cars for the Indian market and also exports cars and components to other countries.
- A London magazine is designed in Delhi using the Internet, showing cross-country integration of services.

Source: Chapter 4 – What is Globalisation?

Explanation

- The definition must use the phrase "rapid integration/interconnection between countries" — directly from the textbook.
- Two examples are ideal for a 2-mark answer: one from goods/MNCs (Ford Motors) and one from services (IT/magazine example). Both are from the source passages.
- Avoid over-explaining; examiners look for the correct definition + relevant example(s) within the word limit.

Q48. § FACTORS THAT HAVE ENABLED GLOBALISATION**[1]**

Two statements I and II are given below. Read both the statements carefully and choose the correct option :

Statement I : Information and communication technology stimulate the process of globalisation.

Statement II : It is used to contact each other, receive information instantly and communicate with remote areas.

- A Both statements I and II are correct and statement II is the correct explanation of statement I.
- B Both statements I and II are correct, but statement II is not the correct explanation of statement I.
- C Statement I is correct, but statement II is incorrect.
- D Statement I is incorrect, but statement II is correct.

Previously asked in: 2025 32/2/1 Q20

♦ Globalisation and the Indian Economy

Role of Information and Communication Technology (ICT) in Globalisation

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Model Answer

Option A is correct. Both statements I and II are correct, and Statement II correctly explains how ICT stimulates globalisation — by enabling instant communication and contact with remote areas.

Source: Factors That Have Enabled Globalisation, Chapter 4

Explanation

- Statement I is true — the textbook states ICT has played a major role in the globalisation process.
- Statement II is also true — the textbook says telecommunication facilities are used "to contact one another around the world, to access information instantly, and to communicate from remote areas."
- Crucially, Statement II **directly explains the mechanism** by which ICT stimulates globalisation, making it the correct explanation — so Option A is right, not B.

Q49. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION

[1]

Two statements I and II are given below. Read both the statements carefully and choose the correct option :

Statement I : Rapid improvement in technology has been one major factor to stimulate the globalisation process.

Statement II : This has made much faster delivery of goods across long distances possible at lower costs.

- (A) Both statements I and II are correct and statement II is the correct explanation of statement I.
- (B) Both statements I and II are correct, but statement II is not the correct explanation of statement I.
- (C) Statement I is correct, but statement II is incorrect.
- (D) Statement I is incorrect, but statement II is correct.

Previously asked in: 2025 32/1/1 Q20

♦ Globalisation and the Indian Economy

Role of technology in globalisation

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Model Answer

(A) Both statements I and II are correct and statement II is the correct explanation of statement I.

Rapid improvement in technology stimulated globalisation, and faster, cheaper delivery of goods across long distances is a direct example of how technology enabled this.

Source: Chapter 4, Factors that have enabled Globalisation — Technology

Explanation

Statement I is directly from the textbook. Statement II explains *how* technology stimulated globalisation — by enabling faster delivery at lower costs (through improvements in transportation). Since Statement II gives the mechanism/reason for Statement I, it is the correct explanation, making option **(A)** the right choice. Avoid (B), which is used when both statements are true but unrelated.

Q50. § WHAT IS GLOBALISATION? § FACTORS THAT HAVE ENABLED GLOBALISATION § SUMMING UP

[3]

"Advancement in technology has stimulated the globalization process." Justify the statement with suitable arguments.

Previously asked in: 2026 32/5/1 Q35

♦ Globalisation and the Indian Economy

Rapid improvement in transportation and communication technology

Technology and Globalisation

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Model Answer

Technology has stimulated globalisation in the following ways:

1. **Improved Transportation:** Faster and cheaper transport (container ships, air transport) enables quick delivery of goods across long distances at lower costs, boosting international trade.
1. **Information and Communication Technology (ICT):** Telecommunications, computers, and the Internet allow instant communication across the world. Businesses can manage production and services across countries easily.
1. **Spreading Services Globally:** IT has enabled services like data entry, accounting, and call centres to be produced in one country and exported to another. For example, a London magazine can be designed in Delhi using the Internet.

Source: *Globalisation and the Indian Economy*, Chapter 4, Section — Factors That Have Enabled Globalisation

Explanation

- The examiner expects **3 distinct points** for 3 marks — one per mark.
- Directly link each technology type (transport, ICT, IT-services) to how it **enabled** globalisation — don't just describe the technology.
- The textbook example of the London magazine designed in Delhi is a scoring point that shows application.
- Avoid vague statements like "technology made the world smaller" — be specific.

Q51. § FACTORS THAT HAVE ENABLED GLOBALISATION**[3]**

"New technology has helped the world to become connected." Justify the statement with suitable arguments.

Previously asked in: 2026 32/1/1 Q35

♦ Globalisation and the Indian Economy

Role of technology in globalisation

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Model Answer

New technology has connected the world in the following ways:

1. **Improved transportation** — Containerisation has reduced port handling costs and enabled faster delivery of goods. Lower air transport costs have increased the volume of goods transported globally.
1. **Telecommunications** — Telephone, mobile phones, fax and satellite communication allow people to contact anyone across the world instantly, even from remote areas.
1. **Internet and computers** — The Internet enables instant e-mail, voice-mail, e-banking and sharing of information across countries at negligible cost, making production of services possible across borders.

These developments in IT and transportation have played a major role in stimulating globalisation.

Source: Chapter 4 — Globalisation and the Indian Economy, "Factors that have enabled Globalisation — Technology"

Explanation

- The question asks you to **justify** a statement, so use 3 clear points (1 mark each).
- Examiners expect: transportation improvements → containerisation/air transport; telecommunications → mobile/fax/satellite; Internet/IT → e-mail, e-banking, services production.
- Avoid vague sentences like "technology is very useful." Be specific with examples from the textbook (containers, Internet, e-banking example with Delhi–London magazine).
- End with a linking sentence tying technology back to globalisation/connectivity.

Q52. § FACTORS THAT HAVE ENABLED GLOBALISATION**[3]**

"New technology has helped to connect the world." Justify the statement with suitable arguments.

Previously asked in: 2026 32/4/1 Q35

♦ Globalisation and the Indian Economy

Role of technology in globalisation

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Model Answer

New technology has helped connect the world in the following ways:

1. **Improved Transportation:** Use of containers for shipping goods has reduced port handling costs and increased delivery speed. Falling air transport costs have enabled greater volumes of goods to be transported globally.
1. **Information and Communication Technology (ICT):** Telecommunications (telephone, mobile phones, fax), computers, and the Internet allow people to contact each other instantly across the world, even from remote areas, using satellite communication devices.
1. **IT in Services:** IT has spread production of services across countries. For example, a London magazine is designed in Delhi — text is sent via Internet, instructions via telecommunication, and payment via e-banking — all made possible by technology.

Source: Chapter 4 — Globalisation and the Indian Economy, *Factors that have enabled Globalisation — Technology*

Explanation

The examiner expects three distinct points (1 mark each) covering transportation, ICT/telecommunications, and IT in production/services. Avoid vague statements — always link the technology to how it *connects* the world. Use the magazine example as a concrete illustration for the third point. Keep each point crisp and named clearly.

Q53. § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA**[5]**

"Liberalisation of foreign trade and foreign investment policy have shown far reaching changes in India." Support the statement with suitable arguments.

Previously asked in: 2023 32/6/1 Q33(a)

♦ Globalisation and the Indian Economy

Impact of Globalisation on India

Liberalisation of Foreign Trade and Foreign Investment Policy in India

Removal of Trade Barriers and Role of WTO

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Model Answer**Liberalisation of Foreign Trade and Foreign Investment — Far-Reaching Changes in India:**

1. **Removal of Trade Barriers (1991):** Starting around 1991, the Indian government removed barriers on foreign trade and investment. Goods could now be imported and exported easily, and foreign companies could set up factories and offices in India.
1. **Rise of MNC Investment:** MNCs increased investments in sectors like automobiles, electronics, cell phones, and banking, creating new jobs and benefiting local supplier companies.
1. **Growth of Indian Companies:** Several top Indian companies invested in newer technology and raised production standards. Some emerged as MNCs themselves — Tata Motors, Infosys, Ranbaxy, Asian Paints.
1. **Special Economic Zones (SEZs):** Government set up SEZs with world-class infrastructure, offering tax exemptions for five years to attract foreign investment.
1. **Consumer Benefits:** Greater competition led to improved quality, wider choice, and lower prices for consumers.
1. **New Service Opportunities:** IT-enabled services like call centres, data entry, and accounting expanded, boosting exports.

Source: Chapter 4 — Globalisation and the Indian Economy, Liberalisation of foreign trade and foreign investment policy; Impact of Globalisation in India

Explanation

- Examiners expect **5 distinct, labelled points** for a 5-mark question — one point per mark.
- Each point should be crisp (1–2 lines), not a paragraph.
- Key terms like **liberalisation, SEZs, trade barriers, MNCs** must appear — they fetch marks.
- Don't just describe globalisation generally; focus on **changes due to liberalisation policy**, as the question demands.
- Mentioning the **year 1991** shows factual accuracy and impresses examiners.

Q54. § IMPACT OF GLOBALISATION IN INDIA**[5]**

Analyse the impact of globalization in India.

Previously asked in: 2023 32/1/1 Q33(a)

♦ Globalisation and the Indian Economy

Impact of Globalisation on India

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Model Answer**Impact of Globalisation in India:**

1. **Benefit to consumers:** Greater competition among local and foreign producers has given consumers more choices, improved quality, and lower prices, raising living standards especially for the urban well-off.
1. **New jobs and industries:** MNCs have increased investments in sectors like cell phones, automobiles, electronics, and banking, creating new employment opportunities.
1. **Growth of Indian companies:** Several top Indian companies benefited by adopting new technology and production methods. Some like Tata Motors, Infosys, and Ranbaxy have emerged as MNCs themselves.
1. **IT and service sector growth:** Globalisation created new opportunities in IT-enabled services — call centres, data entry, accounting — which are exported to developed countries.
1. **Negative impact:** Many small producers and workers suffered due to increased competition. Labour laws were made flexible, reducing job security for workers.

Conclusion: The impact has been uneven — beneficial for the skilled, wealthy, and educated, but harmful for small producers and unskilled workers.

Source: Chapter 4 — Globalisation and the Indian Economy, "Impact of Globalisation in India"

Explanation

Examiners look for **at least 4–5 distinct points** covering both positive and negative impacts. Always mention: consumers, MNCs/investment, Indian companies becoming MNCs (with examples), IT/services, and the negative side (small producers/workers). The conclusion on **uneven impact** is important — it directly addresses the standard exam phrase "*impact of globalisation has not been uniform.*" Avoid writing a one-sided answer.

Q55. § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA § SUMMING UP

[2]

How did liberalization promote the process of globalization in India ? Explain.

Previously asked in: 2025 32/5/1 Q24

♦ Globalisation and the Indian Economy

Liberalisation and its role in promoting Globalisation in India

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Model Answer

Liberalisation means removal of trade and investment barriers by the government. It promoted globalisation in India by:

- Allowing foreign companies (MNCs) to invest freely in India.
- Enabling easier movement of goods and services across countries.
- Facilitating integration of Indian markets with global markets, increasing competition and choice.

Source: Summing Up, Chapter 4

Explanation

The examiner expects two clear points: (1) what liberalisation means (removal of barriers), and (2) how it directly enabled globalisation (free flow of trade/investment, integration of markets). Avoid writing a long essay — 2 marks means 2 crisp points. The textbook phrase "liberalisation of trade and investment has facilitated globalisation by removing barriers" is key.

Q56. § FOREIGN TRADE AND INTEGRATION OF MARKETS § WORLD TRADE ORGANISATION § IMPACT OF GLOBALISATION IN INDIA [3]

How did the trade policy implemented in 1991 stimulated the globalization in India ? Explain with example.

Previously asked in: 2025 32/4/1 Q27

♦ Globalisation and the Indian Economy

Impact of Globalisation on India with Examples

Trade Policy of 1991 and Liberalisation

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Model Answer

Starting around 1991, India removed barriers on foreign trade and foreign investment — this is known as **liberalisation**. The government decided that Indian producers should compete globally, which would improve their quality and performance.

This policy stimulated globalisation in the following ways:

- Goods could be imported and exported more easily.
- Foreign companies could set up factories and offices in India.
- Foreign investment increased, creating new jobs in sectors like automobiles, electronics, and IT.

Example: With liberalisation, Chinese toys could enter Indian markets. Indian buyers got more choices at lower prices, while Chinese manufacturers expanded their business — showing how markets of two countries became integrated through trade.

Source: Chapter 4 — Liberalisation of Foreign Trade and Foreign Investment Policy

Explanation

Examiners expect three things for 3 marks: (1) definition of liberalisation/1991 policy, (2) at least two effects on trade/investment, and (3) a relevant example. The Chinese toy example is directly from the textbook and is the safest to use. Avoid writing too much — 3 marks = roughly 3 key points. The word "stimulated" in the question is a cue to explain *how* the policy caused globalisation, not just what globalisation is.

Q57. § WORLD TRADE ORGANISATION § SUMMING UP**[1]**

Which one of the following is included in 'liberalization' ?

- (A) Promoting trade barriers
- (B) Removing trade barriers
- (C) Controlling the other country through trade
- (D) Increasing import, export duty on goods

Previously asked in: 2024 32/5/1 Q18

♦ Globalisation and the Indian Economy

Liberalisation - meaning and components

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Model Answer**(B) Removing trade barriers**

Liberalisation means removing barriers on foreign trade and investment to allow free movement of goods and services between countries.

Explanation

The NCERT text (Chapter 4, Summing Up) directly states: "liberalisation of trade and investment has facilitated globalisation by **removing barriers** to trade and investment." Options A, C, and D all describe the opposite — protectionism or control — not liberalisation.

Q58. § IMPACT OF GLOBALISATION IN INDIA**[2]**

How did the process of liberalisation initiated in India in the 1990s, promote globalisation ? Explain.

Previously asked in: 2025 32/1/1 Q24

♦ Globalisation and the Indian Economy

Liberalisation and its role in promoting Globalisation in India (1990s)

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Model Answer

Liberalisation removed barriers to foreign trade and foreign investment, allowing goods and services to move freely across borders. It allowed MNCs to invest in India and Indian companies to invest abroad. This increased the flow of goods, services, and capital between countries, thereby promoting globalisation.

Source: Chapter 4, Summing Up

Explanation

The examiner wants two clear points: (1) what liberalisation did (removed trade/investment barriers) and (2) how that directly promoted globalisation (increased cross-border flow of goods, services, investment, and MNC activity). Avoid writing a long essay — two crisp sentences linking the cause (removal of barriers) to the effect (greater integration/globalisation) are sufficient for 2 marks.

Q59. § PRODUCTION ACROSS COUNTRIES § IMPACT OF GLOBALISATION IN INDIA § ADDITIONAL ACTIVITY / PROJECT **[1]**

Cargill Foods, a very large MNC, is the largest producer of edible oil in India. Which one of these countries does it belong to ?

- (a) India
- (b) France
- (c) Great Britain
- (d) United States of America

Previously asked in: 2023 32/5/1 Q19

♦ Globalisation and the Indian Economy

Examples of MNCs operating in India

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Model Answer

(d) United States of America

Cargill Foods is an MNC that belongs to the United States of America.

Explanation

This is a factual recall question. Cargill is a well-known American MNC mentioned in the context of Chapter 4 (Globalisation and the Indian Economy). The key point to remember is that MNCs like Cargill, though operating widely in India, are headquartered in and belong to other countries — in this case, the USA.